

Insurers in Financial Difficulties: Notification of Affected Persons

Source: <https://www.prarulebook.co.uk/prarules/insurers-in-financial-difficulties-notification-of-affected-persons/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:51

1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to every _insurer under write-down_ but not to _affected market participants_ or the _Society_.

1.2

In this Part, the following definitions shall apply:

affected person

has the meaning given in 2.1.

capital market investment

means an agreement which is, or forms part of, an arrangement involving the issue of a capital market investment, as defined in paragraph 6 of Schedule ZA2 to the Insolvency Act 1986.

client money

has the meaning given in the _FCA Handbook_ for the purposes of CASS 5 of the _FCA Handbook_.

financial contract

has the meaning given in paragraph 6 of Schedule 19C to _FSMA_ (Relevant contracts).

financial counterparty

means any party to a _financial contract_ other than the _insurer under write-down_.

relevant contract of insurance

has the meaning given in sub-paragraph 3(2) of Schedule 19C to _FSMA_ (Restriction on policyholder surrender rights).

specified information

means the information specified in Chapter 3.

trade creditor

means any _person_ who supplies goods or services to the _insurer under write-down_ in circumstances where:

1. (1) a liability in respect of such supply has been reduced pursuant to a _write-down order_ ; or

2. (2) the supplier is affected by paragraph 2 of Schedule 19B to _FSMA_ (Moratorium on proceedings) or paragraph 7 of Schedule 19C to _FSMA_ (Restrictions on termination etc).

write-down manager

has the meaning given to the term 'manager' in section 377G(1) of _FSMA_ (The manager).

write-down order

has the meaning given in section 377A(1) of _FSMA_ (Write-down orders).

2

Affected Persons

2.1

For the purposes of section 377F(3) of _FSMA_, an _affected person_ in relation to an _insurer under write-down_ is:

1. (1) every _policyholder_ of the _insurer under write-down_;
2. (2) every _reinsurer_ of the _insurer under write-down_;
3. (3) every _trade creditor_ of the _insurer under write-down_;
4. (4) every _financial counterparty_ of the _insurer under write-down_;
5. (5) every holder of a _capital market investment_ issued by the _insurer under write-down_ (or a trustee acting on behalf of such persons); and
6. (6) every _intermediary_ who has placed business with the _insurer under write-down_ where that business may be affected by the write-down, or where the _intermediary_ is a debtor or creditor of the _insurer under write-down_ or holds _client money_ in connection with such business.

3

Specified Information

3.1

For the purposes of section 377F(4)(a) of _FSMA_, the following information is specified:

1. (1) the fact a _write-down order_ has been made;
2. (2) details of where a copy of the _write-down order_ may be obtained or inspected;
3. (3) an explanation of why the application for a _write-down order_ was made and by whom;
4. (4) an explanation of the effect of the _write-down order_ and of the impact of Chapter 5A of the Policyholder Protection Part, and must in particular include a summary of:
 1. (a) how the contractual and associated rights and obligations of _affected persons_ are affected as a result of the _write-down order_;
 2. (b) how payments will be made by the _insurer under write-down_ and whether and in what quantity payments will be reduced, including after taking into account the effect of Chapter 5A of the Policyholder Protection Part;
 3. (c) the rights and obligations _affected persons_ have in connection with the _write-down order_ and the _write-down manager_, including the right to apply to court to vary or revoke a _write-down order_ or to challenge the actions of the _write-down manager_;
 4. (d) where the _insurer under write-down_ carries out _relevant contracts of insurance_, the effect of Part 2 of Schedule 19C to FSMA (Policyholder surrender rights), including the process for applying for consent under paragraph 5 of Schedule 19C of FSMA (Consent to exceed surrender limit);

5. (5) a summary of the effect of Part 3 of Schedule 19C to FSMA (Termination etc of relevant contracts), including the process for applying for consent under paragraph 8 of Schedule 19C of FSMA (Consent to terminate relevant contracts);
6. (6) a statement that the _insurer under write-down_ continues to be regulated by the _PRA_ and the _FCA_ ;
7. (7) a summary of the functions of the court, the _write-down manager_ and the _insurer under write-down_ , the _PRA_ and the _FCA_ ; and
8. (8) contact details for the _insurer under write-down_ and the _write-down manager_ , with a statement directing _affected persons_ to contact those parties with queries.

4

Form and Manner of Notification

4.1

For the purposes of section 377F(4)(b) of _FSMA_ , this Chapter specifies the form and manner in which _specified information_ must be given.

4.2

Specified information may be provided in different packs for different purposes, with each such pack containing only such information as is relevant to the intended recipient. This may include:

1. (1) a pack intended for _policyholders_ which contains only such _specified information_ as is relevant to them; and
2. (2) a pack intended for other _affected persons_ which contains only such _specified information_ as is relevant to them.

4.3

Specified information must be given in writing in English on paper or another format available and accessible to the _affected person_ , provided that:

1. (1) anything which enables the _affected person_ to store _specified information_ addressed personally to them is accessible for future reference and for a period of time adequate for the purposes of the _specified information_ and which allows the unchanged reproduction of the _specified information_ stored; and
2. (2) the provision of _specified information_ by means of electronic communications shall be treated as appropriate if there is evidence that the _affected person_ has regular access to the internet. The provision by the _affected person_ of an e-mail address is sufficient evidence.

4.4

An _affected person_ is entitled, upon request and without charge, to receive _specified information_ on paper. An _affected person_ is also entitled to change the means of communication used.

4.5

Copies of _specified information_ must also be available on a website, and:

1. (1) _affected persons_ must be notified of the address of the website, and the place on the website where the _specified information_ may be accessed;
2. (2) the _specified information_ must be up to date; and
3. (3) the _specified information_ must be accessible continuously by means of that website for a period of time adequate for the purposes of the _specified information_.